Chapter Six

State of the Industrial Economy

India Late to the Industrial Revolution

The Industrial Revolution began in the late 1780s in the West. Over the next 150 years, industrialization transformed predominantly stagnant agricultural economies into high-growth industrial economies. However, India, who became and remained one of the richest nations globally for many centuries on account of its leadership in the agriculture era, did not adopt industrial technologies for many decades.

The first successful commercial steam engines made their presence felt in the last decade of the seventeenth century. New technologies, such as the flying shuttle, drop box and spinning frame, with the use of steam power in factories, transformed clothmaking in the middle of the eighteenth century. The Industrial Revolution was born. The industrialization of economies created an enormous amount of income and wealth. Production and trade of industrial goods enriched many countries. India did not gain as it was a latecomer on the industrialization bandwagon.

Beginning in the late nineteenth century, India did witness some industrialization, largely in consumer industries such as sugar, cotton and jute. That said, India was a predominantly agricultural, low-income and stagnant economy at the dawn of Independence. When India became independent, only 6 per cent of its GDP was contributed by manufacturing or industrial goods.